The Rent-Roll Truth Check

Property: _____

Date: _____

A rent roll is a claim. Bank deposits are behavior. Leases are terms. All three must agree before you believe the income.

Part D: Prove the numbers.

Takes in: rent roll, leases, bank deposits, tax return.

Hands to: AS-08 (verified revenue), AS-14 (the red flags).

Built for MHC lot-rent math. For RV revenue, use its sibling: Rent-Roll Truth Check: RV Edition (AS-15R).

1. The Gap Bridge

Start with the seller's claimed annual rent. Subtract every dollar you can explain, one named line at a time. What remains is unexplained. Set your pause threshold before you start, not after you fall for the park.

Bridge line	Amount	Source document
Claimed annual rent (rent roll gross monthly x 12)		
Minus: vacancy, claimed vs. walked occupancy		
Minus: delinquent lots never collected		
Minus: concessions and discounts		
Minus: comped lots (manager, staff, family)		
Minus: timing (rent paid across month end)		
Minus: seasonality presented as stabilized		
Minus: non-rent income booked as rent		
Expected deposits (claimed minus explained)		

Strip owner injections, loan proceeds, transfers between accounts, and security deposits before you count anything as rent.

Bridge line	Amount	Source document
Actual 12-month deposits		
UNEXPLAINED (expected minus actual)		

Pause rule: if unexplained is more than ____% of claimed annual rent, pause the deal. (Buyer-chosen. Set it before you start.)

2. Sampling protocol

- Under 40 lots: verify every lot. No sampling.
- 40 lots and up: sample about 30% of lots, plus every anomaly (phantom occupied units, comped lots, odd payment patterns).
- Expand the sample when mismatches pile up. Mismatches cluster; when they do, the sample was too small.

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3. The cash test

- How much rent arrives as cash.
- Who touches the cash before the bank.
- How cash is batched into deposits, and whether the batch slips match the deposit slips.

Cash that cannot be traced lot by lot is priced at zero until it can.

4. The fourth document

The tax return or Schedule E. Rental income on the return should sit near the deposits. A wide spread is its own finding.

5. Anomaly flags to work

- [ ] Deposits well below collections. The money is not landing where the roll says it should.
- [ ] Concession-stuffed rent inflating the roll. Free months and discounts booked as full rent.
- [ ] Manager or relative free lots. Comped lots that will cost you the day you enforce rent.
- [ ] Backdated or unsigned leases. Paperwork written to match the roll, not the tenant.

6. What the gap means

- [ ] Put the gap in writing to the seller and broker before the diligence clock runs out. Diligence periods are often 45 to 60 days; your contract controls, not this sheet.
- [ ] Reprice on real income, not claimed income. The roll is an advertisement until deposits confirm it.

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Worked Example: Maple Bend Estates (fictional)

A fictional 48-lot MHC. Seller claims 44 occupied at $410 average lot rent. The walk finds 41 occupied, 3 derelict units the seller counted as occupied, 4 vacant. Twelve months of bank deposits total $189,000.

Bridge line	Math	Amount
Claimed annual rent	44 x 410 x 12	$216,480
Vacancy: 3 phantom occupied lots	3 x 410 x 12	-$14,760
Comped manager lot	1 x 410 x 12	-$4,920
Delinquency: 7 lot-months never paid	7 x 410	-$2,870
Timing: December rent paid in January		-$2,400
Concessions: two half-off move-ins	2 x 205	-$410
Seasonality / non-rent income	none in this example	$0
Explained total	14,760 + 4,920 + 2,870 + 2,400 + 410	-$25,360
Expected deposits	216,480 - 25,360	$191,120
Actual deposits		$189,000
UNEXPLAINED	191,120 - 189,000	$2,120

Gap check: 216,480 - 189,000 = $27,480, which is 12.7% of claimed (27,480 / 216,480). Unexplained $2,120 is 0.98% of claimed, about 1.0%. Buyer pause threshold: 2% of claimed = 0.02 x 216,480 = $4,329.60. $2,120 sits under $4,329.60, so the deal proceeds on income, and the $2,120 stays on the watch list.

Sampling: 48 lots is over 40, so 30% = 14.4, round up to 15 lots, plus the 3 derelict units as anomalies. Cash test: every cash batch traced lot by lot. Tax tie: Schedule E rental income must sit near $189,000; any wide spread is its own finding.

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The Doctrine

A rent roll is a story the seller tells in rows and columns, and stories are cheap to tell. Money is not: it either landed in the bank or it did not. That is the belief this tool shatters, that verification is about catching a liar. Verification measures how much of the income story is knowable. The phantom lots, the comped manager, the December rent that arrived in January, every dollar of the gap gets a name and a source document. What stays unexplained is priced at zero. The one rule: buy only what you can prove. The rite of passage is your first Gap Bridge, the moment you see thousands of dollars nobody can explain, and you pause a deal you already loved.

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